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REVISED RECRUITMENT AND HIRING POLICIES AND PROCEDURES

PHILOSOPHY:

The Bank believes in hiring candidates based on their skills, qualifications and relevant experience to ensure that it shall maintain a workforce of highly competent and efficient professionals. It is the goal of the Company to recruit and hire based on non-discriminatory criteria and suitability for the job. Proper sourcing, screening and selecting of employees with the required knowledge, skills, experience and competencies in performing the job will be observed. In line with this philosophy, Management shall select applicants who are best fit for the job through the following policies and procedures:

A. Staffing

1. The Division Heads are accountable for identifying the staffing needs and qualifications of individuals required for their division. The request for personnel should be based on the approved TO and number of approved personnel in their Division.
2. It is critical that the best qualified candidates are placed for vacant positions in the Company.
3. The staffing decision shall be based on the Company's strategic plans. It is necessary to determine whether the positions that will be created are vital to the achievement of the Company's business goals, and to decide whether the requirement is for a temporary, regular employment or consultancy basis.

B. Personnel Requisition Form

1. Human Resources is accountable for obtaining qualified candidates for all open positions. Recruitment begins once an approved Personnel Requisition Form is received from the requesting manager, together with the job description of the vacant position.
2. In accomplishing the Personnel Requisition Form, the following information shall be specified:
 - Required number of personnel
 - Reason for hiring (new position, vacancy, etc)
 - Nature of Employment (temporary, probationary, Consultant)
 - Job requirement/Specification (Education, Experience, Skills, Personal Qualities)
 - Brief description of duties and responsibilities



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3. The requesting unit shall attach to the PRF an accomplished RSAF (Resource & System Access Form) & HSRF (Hardware/Software Installation Request Form) as necessary, i.e., desktop or laptop with specification and this will be forwarded to IT Division so that said work tool is ordered/prepared before the start date of the employee.

C. Sourcing of Applicants

1. The Bank's sources of applicants are reputable schools, job fairs, various sourcing channels such as Jobstreet, Linked-in, Indeed, FB, referrals, walk-in applicants and applications received through HRD's email address, and the Bank's website.
2. The Bank shall hire graduates from government-accredited and reputable colleges or universities only.
3. An applicant who is related to a current employee up to the 2nd degree of consanguinity or affinity cannot be considered for hiring.

D. Screening & Selection

1. In obtaining the best people to fill up vacant positions in the Company, the applicant's qualifications and skills shall be matched with the position description. Given this, the Recruitment Manager shall ensure that applicants meet the following requirements:

Education	College graduate
Work Experience/Training relevant to the position	Required for certain positions or considered an advantage if not required
BSP-mandated requirements (for Officers)	Possession of the qualifications and none of the disqualifications imposed by BSP. (see below:

Disqualification of Directors & Officers

A. Permanently Disqualified

- 1) Those who have been convicted by final judgment of a court for offenses involving dishonesty or breach of trust such as, but not limited to estafa, embezzlement, extortion, forgery, malversation, swindling, theft, robbery, falsification, bribery, violation of Anti-Bouncing Check Law, violation of Anti-Graft and Corrupt Practices Act, Violation of Anti-Money Laundering Act, and prohibited acts and transactions under Section 7 of R.A. No. 6713 (Code of Conduct and Ethical Standards for Public Officials and Employees);
- 2) Persons who have been convicted by final judgment of a court or other tribunal for violation of securities and banking laws and regulations;
- 3) Persons who have been convicted by final judgment for cases filed against



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- them for offenses under R.A. No. 3591, as amended (PDIC Charter);
- 4) Persons who have been convicted by final judgment of a court for offenses which involves moral turpitude, or for offenses which they were sentenced to serve as a term of imprisonment of more than six (6) years;
 - 5) Persons who have been judicially declared with finality as insolvent, spendthrift or incapacitated to contract;
 - 6) Persons who were found to be culpable for the bank's closure, as determined by the Monetary Board;
 - 7) Persons found by the Monetary Board to be administratively liable for violation of laws, rules and regulations implemented by the Bangko Sentral, where a penalty of removal from office is imposed, and which resolution of the Monetary Board has become final and executory;
 - 8) Persons found liable by any government agency/corporation, including government financial institution, for violation of any law, rule or regulation involving dishonesty, misconduct, or any other grave or less grave offense classified under the Revised Administrative Code or Civil Service rules that adversely affects their fitness and propriety as directors/officers, and which finding of said government institution has become final and executory.

B. Temporarily Disqualified

- 1) Persons who have shown unwillingness to settle their financial obligations, as evidenced by, but not limited to the following circumstances:
 1. The person has failed to satisfy any financial obligation that has been adjudicated by a court;
 2. The person has filed for insolvency or suspension of payments that adversely affects his/her fitness and propriety as director/officer;
 3. A person who is delinquent in the payment of; an obligation with a bank where he/she is a director or officer; or at least two (2) obligations with other banks/FIs.

Financial obligations as herein contemplated shall include all borrowings obtained by:

- i. A person for his/her own account where he/she acts as a guarantor, endorser or surety for loans;
- ii. The spouse, except when incurred after legal separation of properties or when the property regime governing the spouses is absolute separation of properties or except when incurred prior to the marriage;
- iii. Any debtor whose borrowings or loan proceeds were credited to the account of, or used for the benefit of, the person described under item "b(1)" of this Section (Persons disqualified to become directors/officers);



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- iv. A partnership of which a person, or his/her spouse is the managing partner or a general partner owning a controlling interest in the partnership; and
- v. A corporation, association or firm wholly-owned or majority of the capital of which is owned by an or a group of individuals/entities mentioned in the immediately preceding items "(i)", "(ii)" and "(iv)".

They shall remain temporarily disqualified until the financial obligations have been settled or satisfied.

- 2) Persons involved in the closure of banks pending their clearance by the Monetary Board
- 3) Persons confirmed by the Monetary Board to have committed acts or omissions, which include failure to observe/discharge their duties and responsibilities prescribed under existing regulations, that; a) caused undue injury or disadvantage to the bank through manifest partiality, evident bad faith or gross inexcusable negligence; b) caused or may have caused material loss or damage to the bank, its depositors, creditors, investors, stockholders, to the Bangko Sentral or to the public in general; or c) exposed the safety, stability, liquidity or solvency of the bank to abnormal risk or danger;
- 4) Persons found to have been involved in any irregularity/violation which constitutes a just cause for dismissal/termination as defined under the Labor Code of the Philippines, as amended, regardless of any action taken by the bank;
- 5) Persons certified by, or in the official files of foreign financial regulatory authorities, financial intelligence units, or similar agencies or authorities of foreign countries, as charged with commission of, or having committed, irregularities or violations of any law, rule or regulation, which may adversely affect the fitness and propriety of the person or the ability to effectively discharge his/her duties.
- 6) Persons, other than those covered under item "b(8)" of this section (persons disqualified to become directors/officers, who after conduct of investigation by domestic financial or commercial regulatory authorities, financial intelligence units or similar agencies or authorities such as the Securities and Exchange (SEC) Anti-Money Laundering Council (AMLC), or the Philippine Deposit Insurance Corporation (PDIC), have complaints filed against them by the aforementioned authorities/units/agencies pending before a court of law or quasi-judicial body, or convicted by said court or quasi-judicial body but whose conviction has not become final and executory, for offenses involving violation of laws, rules and regulations, which may adversely affect the fitness and propriety of the person or the

- ability to effectively discharge his/her duties;
- 7) Persons with cases pending before a court or other tribunal, or those convicted by said court or tribunal, but whose conviction has not become final and executory, for offenses involving a) dishonesty or breach of trust such as but not limited to, estafa, embezzlement, extortion, forgery, malversation, swindling, theft, robbery, falsification, bribery, violation of anti-Bouncing Check Law, violation of Anti-Graft and Corrupt practices Act, violation of Anti-Money Laundering Act, and prohibited acts and transactions under Section 7 of RA No. 6713 (Code of Conduct and Ethical Standards for Public Officials and Employees); or b) violation of securities and banking laws, rules and regulations;
 - 8) Persons who have been convicted by a court for an offense involving moral turpitude, and persons who have been sentenced to serve a term of imprisonment of more than six (6) years for other crimes but whose conviction has not yet become final and executory;
 - 9) Persons with pending cases for offenses under RA No. 3591 (PDIC Charter), or those who have been convicted for said cases but whose conviction has not yet become final and executory;
 - 10) Persons found by Monetary board to be administratively liable for violation of laws, rules and regulations implemented by the Bangko Sentral, where a penalty of removal from office is imposed, and which resolution of the Monetary Board is appeal, unless execution or enforcement thereof is restrained by the appellate court;
 - 11) Persons against whom a formal charge has been filed or who are found liable by any government agency/corporation, including government financial institution, for violation of any law, rule or regulation involving dishonesty, misconduct or any other grave or less grave offense classified under the Revised Administrative Code or Civil Service rules that adversely affects their fitness and propriety as directors/officers, and which finding of said government institution is on appeal, unless execution or enforcement thereof is restrained by the appellate court; and
 - 12) Persons found the Monetary Board to be administratively liable for violation of laws, rules and regulations implemented by the Bangko Sentral, where a penalty of suspension from office or fine is imposed, unless the finding is on appeal and the execution of enforcement thereof is restrained by the appellate court. Resignation or retirement from his/her office shall not exempt the person from being permanently or temporarily disqualified under this Section.
2. After the paper screening where the recruiter reviews the applicant's resume, an interview shall be conducted by the following:

Applicants for rank & file and Junior Officer positions

- Initial interview shall be conducted by the Recruitment Manager or the HR Head
- The final interview shall be conducted by the hiring Manager/Division Head of the requesting unit

Applicants/candidates for Senior Officer positions:

- Initial interview shall be conducted by the Recruitment Manager or the HR Head
 - Final interview shall be conducted by the President
3. Applicants for Rank & File positions and officer positions below the rank of Manager shall be subjected to qualifying tests (Basic Mental Ability Assessment & Personality test). On the other hand, applicants for officer positions with rank of Manager and up shall not be required to take the qualifying tests. Assessment for these candidates will be based on work experience, competency and achievements. Applicants for certain positions (e.g., IT programmers, Internal Auditors, etc.) may be required by the requesting unit to take additional tests specific to the functions of the position to be filled up.
 4. To ensure that applicants are fit to work, they shall be required to undergo pre-employment medical examination which shall be conducted by the Bank's accredited clinic.
 5. The final requirement before an offer letter is served on the applicant, background investigation and lifestyle monitoring is first conducted. The purpose of the background investigation is to ascertain that the employee has no negative records. This is done through the following:
 - 1) Credit checking through NFIS
 - 2) Residence Check
 - 3) Educational Background Verification
 - 4) Character Reference Check
 - 5) Verification of Previous Employment

E. Job Offer

1. Job offer for Rank & File and Junior Officers shall be handled by the Recruitment Manager or the HR Head.
2. Job offer for Senior Officers (SM up to SVP) shall be discussed to the applicant by the HR Head. Although, the signatory of the offer letter is the President or the Officer-In-Charge.
3. The salary structure shall be the guide of HRD in making the offer letter. On a case to case basis, premium may be given depending on the difficulty in finding candidates, the nature of work of the vacant position (highly technical), applicants



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who graduated with honors (at least Cum Laude) and/or with additional degrees like MBA, PhD, etc.

F. Required Documents

1. An applicant who is considered for hiring must submit the following requirements to the Recruitment team:

- NBI/Police Clearance
- Birth Certificate
- Tin ID/ BIR 1902 Form
- SSS Digitized ID/E-1 or E4
- Philhealth ID/Member's Data Record
- HDMF/Pag-ibig/Member's Data Form (print-out)
- Diploma/Transcript of records
- Marriage Certificate (if applicable)
- Clearance from Previous Employer
- W-2/BIR 2316 Form
- Recent 1x1 and 1.5x1.5 picture in white background (4 copies)
- Authorization form for Background Check
- Privacy Notice for Employees
- Confidentiality and Non-Disclosure Agreement
- Confirmation and Undertaking
- Certification of Undertaking
- Personnel Information Sheets
- BSP Biographical Data, Verified Statement & Authorization Form (For officers)
- SEC Form 23-A (for officers)
- Other documents that may be required by HRD

**** All Files submitted will be filed in the employees' 201 folder.

G. Approving Authorities

Personnel Requisition Form (Authority to hire)	
▪ Rank & File & Officer positions	President
Actual hiring of an applicant	
▪ Officer positions, AVP & up	Endorsement: Corporate Governance Approval: Board of Directors
▪ Below AVP (JAM,SAM,M,SM)	Approval President
▪ Rank & File positions	HR Head/Division Head



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H. On-Boarding Process

1. HRD shall implement a comprehensive on-boarding process and make sure that the on-boarding checklist is being completed. The following shall be ready one day before the first day of work of the new employee:
 - a. Work station
 - b. Work tools such as laptop, desktop, mobile phone (as needed)
 - c. Employment contract
 - d. Job Description
 - e. KRAs/KPIs
 - f. Code of Discipline manual
 - g. Temporary ID
2. The HR Associate shall double check the submitted pre-employment requirements and file in the 201.
3. During on-boarding, Bank forms and all government forms shall be consolidated.
4. The terms and conditions of employment shall be discussed with the employee. All new employees must sign and submit their employment contract on the first day.
5. HRD will issue a probationary ID, a copy of the Bank's code of conduct, Code of Ethics, Information Security Policies and the employee handbook to the new employee. The employee must acknowledge receipt of these documents. For the Head Office-based new employees, Access cards will be provided.
6. Once HR has completed all needed documentation, a head office tour is now conducted.
7. New employees will be endorsed to the immediate superior/Division Head so that job description and work expectations (KRAs/KPIs) can be discussed/explained to the new employee.
8. For employees assigned to the branches, an endorsement letter with attached Job Description and KRAs are given to the employee. On the other hand, for branches located in Visayas/Mindanao area the introduction letter, copy of Job Description and KRA/KPIs are mailed to the Branch Manager. The signed JD and KRA must be submitted to HRD within 10 days from date of hire.
9. New Employee Orientation shall be done at least once a month.

I. Deviation

Any deviation relative to the foregoing rules and regulations shall require the approval of the President.



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These policies shall be adopted effective September 1, 2023, replacing the Recruitment and Hiring policy posted in the public folders on Jun 1, 2019.